

| Acc      | Description                  | Type      | Debit          | Credit          |
|----------|------------------------------|-----------|----------------|-----------------|
| <b>C</b> | <b>Subscription Purchase</b> |           | <b>\$99</b>    |                 |
|          | Ending Balance               |           | \$99           |                 |
| 1600     | COMPUTER SYSTEM              | Asset     |                |                 |
|          | Beginning Balance            |           | 0              |                 |
| <b>B</b> | <b>Computer Purchase</b>     |           | <b>\$6,000</b> |                 |
|          | Ending Balance               |           | \$6,000        |                 |
| 2000     | LOAN FOR COMPUTER            | Liability |                |                 |
|          | Beginning Balance            |           |                | 0               |
| <b>B</b> | <b>Computer Purchase</b>     |           |                | <b>\$5,000</b>  |
| <b>D</b> | <b>Loan Repayment</b>        |           | <b>\$1,000</b> |                 |
|          | Ending Balance               |           |                | \$4,000         |
| 3000     | OWNER'S EQUITY               | Equity    |                |                 |
|          | Beginning Balance            |           | 0              | 0               |
| <b>A</b> | <b>Owner Investment</b>      |           |                | <b>\$10,000</b> |
|          | Ending Balance               |           |                | \$10,000        |

To test that the equation is still in balance, add up all of the ending balances for the assets accounts. Now add up all of the ending balances for the liabilities and the equity account.

### **Assets: (\$14,000)**

1000—Cash (\$7,107) + 1100—Software (\$794) + 1200—Magazine (\$99) + 1600—Computer (\$6,000)

### **Liabilities + Equity (\$14,000)**

2000—Computer Loan (\$4,000) + 3000—Owner's Equity (\$10,000)

The total ending balances above should each be \$14,000.

An accounting system's objective is to keep the primary equation true at all times. As long as the double-entry procedure (i.e., debits and credits equal at all times) is followed, the chart of accounts will stay in balance. This allows the owner of the business at any time to see the source of funds that were used to acquire the business's assets.